

chose to live among the people who have been successful, in an area that excludes failure. In other words, those who have failed do not show up in the sample at all, thus making him look as if he were not doing well at all. By living on Park Avenue, one does not have exposure to the losers, one only sees the winners. As we are cut to live in very small communities, it is difficult to assess our situation outside of the narrowly defined geographic confines of our habitat. In the case of Marc and Janet, this leads to considerable emotional distress; here we have a woman who married an extremely successful man but all she can see is comparative failure, for she cannot emotionally compare him to a sample that would do him justice.

Someone would rationally say to Janet: "go read this book, *Fooled by Randomness* by one mathematical trader on the deformations of chance in life; it would give you a statistical sense of perspective and would accordingly make you feel better". As an author, I would like to offer a panacea for \$27.95, but I would rather say that in my best hopes it may provide an hour or so of solace. Janet may need something more drastic for relief. I have repeated that becoming more rational, or not feeling emotions of social slights is not part of the human race, at least not with our current DNA code. There is no solace to be found from reasoning – as a trader I have learned something about these unfruitful efforts to reason against the grain. I would advise Janet to move out, and go live in some blue-collar neighborhood where they would feel less humiliated by their neighbors and rise in the pecking order beyond their probability of success. They could use the deformation in the opposite direction. If Janet cares about status, then I would even recommend some of these large housing blocks.

Double Survivorship Biases

MORE EXPERTS

I recently read a bestseller called *The Millionaire Next Door*, an extremely misleading (but almost enjoyable) book by two "experts", in

which the authors try to infer some attributes that are common to rich people. They examined a collection of currently wealthy people and found out that these are unlikely to lead lavish lives. They call such people the accumulators; persons ready to postpone consumption in order to amass funds. Most of the appeal of the book comes from the simple but counterintuitive fact that these are less likely to look like very rich people – it clearly costs money to look and behave rich, not to count the time demands of spending money. Leading prosperous lives is time consuming; shopping for trendy clothes, becoming conversant in Bordeaux wines, getting to know the expensive restaurants. All these activities can put high demands on one's time and divert the subject from what should be the real preoccupation, namely the accumulation of nominal (and paper) wealth. The moral of the book is that the wealthiest are to be found among those less suspected to be wealthy. On the other hand, those who act and look wealthy subject their net worth to such a drain that they inflict considerable and irreversible damage to their brokerage account.

I will set aside the point that I see no special *heroism* in accumulating money, particularly if, in addition, the person is foolish enough to not even try to derive any tangible benefit from the wealth (aside from the pleasure of regularly counting the beans). I have no large desire to sacrifice much of my personal habits, intellectual pleasures, and personal standards in order to become a billionaire like Warren Buffett, and I certainly do not see the point of becoming one if I were to adopt Spartan (even miserly) habits and live in my starter house. Something about the praise lavished upon him for living in austerity while being so rich escapes me; if austerity is the end, he should become a monk or a social worker – we should remember that becoming rich is a purely selfish act, not a social one. The virtue of capitalism is that society can take advantage of people's greed rather than their benevolence, but there is no need to, in addition, extol such greed as a moral (or intellectual) accomplishment (the reader can easily see that, aside from very few exceptions like George Soros, I am not impressed by people with money). Becoming rich is not directly a moral achievement, but that is not where the severe flaw in the book lies.

As we said, the heroes of *The Millionaire Next Door* are the accumulators, people who defer spending in order to invest. It is